



Breakthrough
Business
Finance
Training



Practical Business Finance

F a m i l y o f O f f e r i n g s

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How hard was it learning to speak
your home language?

Eeeeasy . . .



How hard is it learning to
speak a second language?

Uuurghhh . . .



Finance is EASY!

You just never learn to speak it when you were growing up

INVITATION

to be in the

PRESENT

MOMENT

WHAT

is

Accounting?



How would you sort out these messes?

1: Group stuff

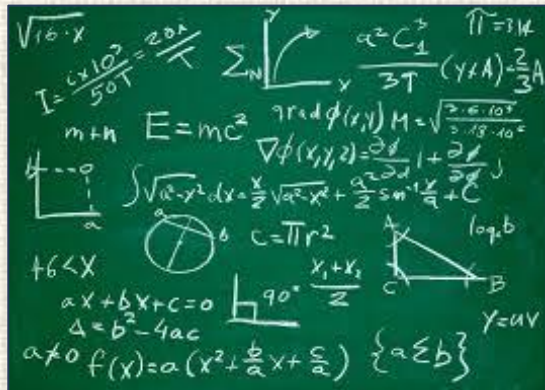
2: Put into “containers”



Accounting is exactly the same...

It is just a
“glorified filing system”

It is built on a
disarmingly simple LOGIC
and has NOTHING
to do with
MATHS or NUMBERS



So it's completely irrelevant if you
struggle with Maths, or are great at Maths

In the beginning.....



Kushim's tablet: 3400 – 3000 BC

1. When did humans start trading?

2. And when did humans start keeping written Financial Records?

In the beginning.....

The earliest known recorded name of a person in writing, "Kushim", appears on clay tablets from the Uruk period (3400 – 3000 BC). The tablets were used to record barley transactions and are written in the archaic Sumerian pictographic script called Uruk III. The tablets contain pictograms that represent: A sheaf of barley, a brick building with a chimney, a sheaf inside a vessel, and dots and lines that represent numbers.



Kushim's tablet: 3400 – 3000 BC

1. When did humans start trading?

2. And when did humans start keeping written Financial Records?



The breakthrough INNOVATION
- and unchallenged success -
of the

DOUBLE-ENTRY ACCOUNTING FILING SYSTEM

(invented about only 600 years ago)

is that it enables us to keep track of

TWO Fundamental Financial Stories at the same time....

**Spoiler Alert! It's NOT the
Balance Sheet and Income Statement**

Think of it like a COIN

The Story of

WHAT YOU HAVE

ASSETS

Valuable Stuff



The INSEPARABLE Story of

EXPLANATIONS: How did you fund this Valuable Stuff?

LIABILITIES

Owe

1

Lenders

Statement

2

Capital Contributions

Shareholders Statement

3

Profits from trading

Invoices & Receipts

EQUITY

The portion of the Assets Funded by Investors

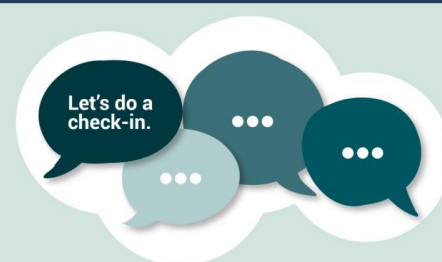
The total **Value**
of the
"Valuable Stuff"
(ASSETS)



The total **Value**
of the
EXPLANATIONS of how you funded this Valuable Stuff
(LIABILITIES + EQUITY)



Think of it like a COIN



The Story of

WHAT YOU HAVE

ASSETS

Valuable Stuff



The total **Value**
of the
"Valuable Stuff"
(ASSETS)



=

The INSEPARABLE Story of

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Owe

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Statement

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**Capital
Contributions**

Shareholders
Statement

3

**Profits
from trading**

Invoices &
Receipts

EQUITY

*The portion of the Assets
Funded by Investors*

The total **Value**
of the

EXPLANATIONS of how you funded this Valuable Stuff
(LIABILITIES + EQUITY)



Think of it like a COIN

Let's apply the Knowledge

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

LIABILITIES

Owe

EQUITY

*The portion of the Assets
Funded by Investors*

500,000

200,000

300,000

1

Lenders

2

Capital
Contributions

200,000

3

Profits
from trading

100,000

The total **Value**
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"Valuable Stuff"
(ASSETS)

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EXPLANATIONS of how you funded this Valuable Stuff
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Think of it like a COIN

The Accounting Equation

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*The portion of the Assets
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500,000

200,000

300,000

1

Lenders

2

Capital
Contributions

200,000

3

Profits
from trading

100,000

Assets

Liabilities

Equity

Income

Expenses



?

?

There are ONLY 5 categories to

“file” accounting information into

(yes only five, always was, ever since the beginning of time)

Think of it like a COIN

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

500,000

LIABILITIES

Owe

200,000

1 Lenders

EQUITY

*The portion of the Assets
Funded by Investors*

300,000

2 Capital
Contributions

200,000

3 Profits
from trading

100,000

= INCOME

500,000

- EXPENSES

400,000

Assets

Liabilities

Equity

Income

Expenses



There are ONLY 5 categories to
“file” accounting information into

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Think of it like a COIN

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500,000

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200,000

1 Lenders

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*The portion of the Assets
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300,000

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Contributions

200,000

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from trading

100,000

Assets = Liabilities + Equity

Equity = Capital + Profit

Profit = Income - Expenses

INCOME

500,000

EXPENSES

400,000

Assets

Liabilities

Equity

Income

Expenses



What makes a **NUMBER** a Number and not a **LETTER** ?

“Category Formation”

is one of our brain's

8 Core Cognitive Capacities

1. The ability to organise information, concepts and skills into categories, and
2. Forms the cognitive basis for higher-level abilities (applying, analysing, and evaluating those concepts and skills).

OMG !

What if the difficulty so many people experience with **Finance** and **Accounting** is rooted in a **CATEGORISATION** problem ??

Categories are the basis of language and organisation of the world !!



ONE COIN – TWO STORIES

Key Learnings

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS
Valuable Stuff

=

500,000



LIABILITIES
Owe

=

200,000

1 Lenders

EQUITY
The portion of the Assets Funded by Investors

+

300,000

2 Capital Contributions 200,000

3 Profits from trading 100,000

Assets = Liabilities + Equity

Equity = Capital + Profit

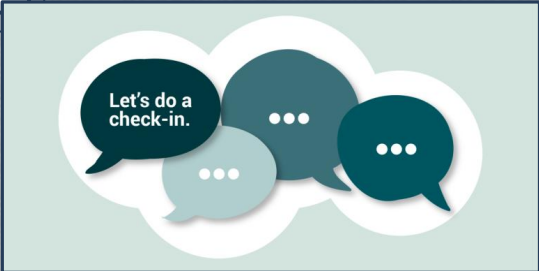
Profit = Income - Expenses

INCOME - EXPENSES

500,000 - 400,000



“Accounting is just a glorified Filing System”



ONE COIN – TWO STORIES

Key Learnings

- 1. The **FIVE ELEMENTS** of Accounting
Assets, Liabilities, Equity, Income, Expenses
- 2. Three equations explain how these elements relate to each other:

Assets = Liabilities + Equity

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Profit = Income - Expenses

The Accounting Equation

The Story of

WHAT YOU HAVE

ASSETS
Valuable Stuff



500k

\$ Million

\$ Zillion

The INSEPARABLE Story of

EXPLANATIONS: How did you fund this Valuable Stuff?

LIABILITIES
Owe

200k

\$ Million

\$ Zillion

EQUITY
Obligation to Investors

Capital Contributions

Profit from trading

200k 300k 100k

INCOME

EXPENSES

500k 400k

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

LIABILITIES

Owe

EQUITY

Obligation to Investors

Capital
Contributions

Profit
from trading

500k

=

200k

+

200k

300k

100k

500k

=

400k

INCOME

- EXPENSES

Assets = Liabilities + Equity

Equity = Capital + Profit

Profit = Income - Expenses

So our Filing System is now in place. Where do we **REPORT** on this information?

BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

Key Learnings

1. The **FIVE ELEMENTS** of Accounting
Assets, Liabilities, Equity, Income, Expenses
2. Three equations explain how these elements relate to each other:

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

WHAT YOU HAVE

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

500k

The INSEPARABLE Story of

EXPLANATIONS: How did you fund this Valuable Stuff?

LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

200k

EQUITY

Obligation to Investors

Capital	Retained Earnings
Actual Contributions (in cash or kind)	Accumulated Profits since day 1 of Trading Less: Dividends

200k

300k

100k

Key Learnings

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$$\text{INCOME} - \text{EXPENSES}$$

500k

400k

BALANCE SHEET

The **Financial Position** of the Business;
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ONE COIN – TWO STORIES

The Accounting

The Story of

The II

WHAT YOU HAVE

EXPLANATIONS: H

ASSETS

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LIABILITIES

Owe

Current	Non-Current
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Current	Non-Current
Creditors	Long-term Loans

500k

200k

BALANCE S

The Financial Position of the business
always at a point in time

Balance Sheet
For XYZ Company (Pty) Ltd
As at 29 February 2024

Assets	
Current Assets	
Cash	R11 874
Accounts receivable	
Inventory	
Prepaid expenses	
Short-term investments	
Total current assets	R11 874
Non-Current Assets	
Property, plant, and equipment	R1 208
Vehicles	R15 340
Land & Buildings	R750 000
Total non-current assets	R766 548
Total Assets	R778 422
Liabilities and Owner's Equity	
Current Liabilities	
Accounts payable	R8 060
Short-term loans	
Income taxes payable	R3 145
Total current liabilities	R11 205
Non-Current Liabilities	
Long-term debt	R3 450
Other	
Total non-current liabilities	R3 450
Owner's Equity	
Owner's capital	R759 378
Retained earnings	R4 389
Other	
Total owner's equity	R763 767
Total Liabilities and Owner's Equity	R778 422

Earnings

of Accounting

ity, Income, Expenses

plain how these

ach other:

ties + Equity

+ Profit

- Expenses

EXPENSES

400k

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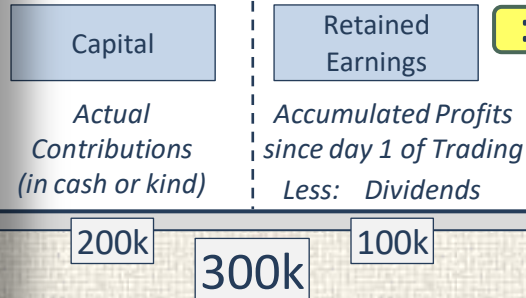
Equation

Valuable Story of

Did you fund this Valuable Stuff?

EQUITY

Obligation to Investors



Key Learnings

1. The FIVE ELEMENTS of Accounting

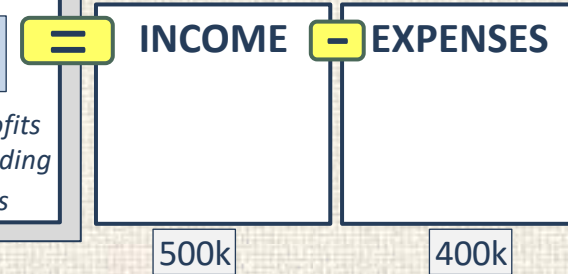
Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

Assets = Liabilities + Equity

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Profit = Income - Expenses



ET

ness;

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

EQUITY

Obligation to Investors

Capital	Retained Earnings
Actual Contributions (in cash or kind)	Accumulated Profits since day 1 of Trading Less: Dividends

Lower

Higher

Key Learnings

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$$\text{Profit} = \text{Income} - \text{Expenses}$$

$$\text{INCOME} - \text{EXPENSES}$$

THEIR Appetite for Risk

DISCUSS: What determines whether a Funder would prefer to be a Lender or Investor in any particular situation?

BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

ONE COIN – TWO STORIES

The Accounting Equation

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$$\text{INCOME} - \text{EXPENSES}$$

Lower

Higher

Interest

Profit

THEIR Appetite for Risk

BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

DISCUSS: What is the nature of the **REWARD** that each of these groups of funders is entitled to?

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

500k

LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

200k

EQUITY

Obligation to Investors

Capital	Retained Earnings
<i>Actual Contributions (in cash or kind)</i>	<i>Accumulated Profits since day 1 of Trading Less: Dividends</i>

200k

300k

100k

Key Learnings

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INCOME - EXPENSES

Trading Income	Other Income	Cost of Sales	Operating Expenses
Sales	Grant	Directly Related to Sale	Indirectly Related to Sale

500k

400k

BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

500k

=

LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

200k

+

EQUITY

Obligation to Investors

Capital
<i>Actual Contributions (in cash or kind)</i>

200k

+

Retained Earnings
<i>Accumulated Profits since day 1 of Trading Less: Dividends</i>

300k

=

Trading Income
Sales

500k

INCOME	-	EXPENSES
Other Income		Cost of Sales
Grant		Operating Expenses
		Directly Related to Sale
		Indirectly Related to Sale

400k

Key Learnings

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BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

INCOME STATEMENT

The **Profit Story**;
always over a **period of time**

ONE COIN

The

The Story of

WHAT YOU HAVE

ASSETS
Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Building

500k

Income Statement For XYZ Company (Pty) Ltd For the Period 1 March 2023 to 29 February 2024

Revenue	
Sales	R3 052 800.00
Less Discounts	-R10 000.00
Net Sales	R3 042 800.00
Cost of Goods Sold	
Any meaningful items, e.g.	
Materials	R356 934.00
Labour	R345 000.00
Flights	R356 934.00
Accommodation	R345 000.00
etc	R100 000.00
Cost of Goods Sold	R1 503 868.00
Gross Profit	R1 538 932.00
Operating Expenses	
Advertising	R23 000.00
Bad debts	R45 000.00
Depreciation	R29 000.00
Insurance	R12 000.00
Maintenance and repairs	R33 567.00
Office supplies	R15 788.00
Rent	R250 000.00
Salaries and wages	R450 000.00
Travel	R28 000.00
Utilities	R33 000.00
Web hosting and domains	R18 000.00
Other	R16 192.00
Total Operating Expenses	R953 547.00
Operating Profit	R585 385.00
Income tax	R135 000.00
Net Profit (after Tax)	R450 385.00

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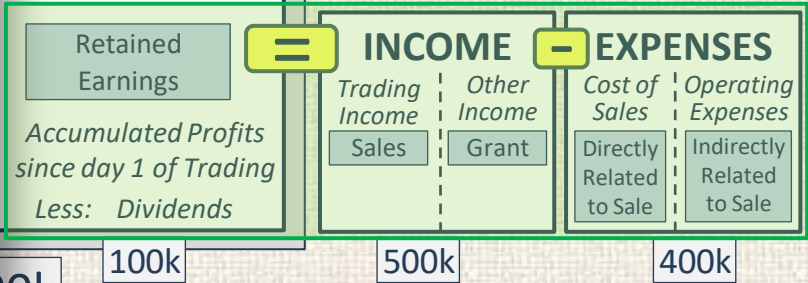
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Valuable Stuff?

UITY

to Investors



00k

INCOME STATEMENT
*The Profit Story;
always over a period of time*

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

EQUITY

Obligation to Investors

Capital
<i>Actual Contributions (in cash or kind)</i>

Retained Earnings
<i>Accumulated Profits since day 1 of Trading Less: Dividends</i>

INCOME

Trading Income	Other Income
Sales	Grant

EXPENSES

Cost of Sales	Operating Expenses
Directly Related to Sale	Indirectly Related to Sale

500k

=

200k

+

200k

300k

100k

500k

400k

Scenario: You're at a business networking event; you walk up to someone you want to meet, and say

Hello !

BALANCE SHEET

How are you?

INCOME STATEMENT

What do you do?

Key Learnings

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$$\text{Profit} = \text{Income} - \text{Expenses}$$

WHY

Accounting?

WHY Accounting?

Simply put, ACCOUNTING helps us:

1

At least to be....

Compliant

2

But more importantly to....

Run a Better Business



What are your “Jobs To Be Done”

<https://www.linkedin.com/in/bobmoesta/>

What’s on your “Critical Path” that is being messed up because of Accounting / Finance?

Our Layered WHY

It's a Breeze

The Vision

Thriving societies, built on
fairness, prosperity
and peace

The African Imperative

*"More Entrepreneurs,
More Predictably Successful,
More Quickly"*

Our Working Goal

*Every African Entrepreneur
Financially Literate & Functional*

ONE COIN – TWO STORIES

Key Learnings

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Profit = Income - Expenses

The Accounting Equation

The Story of

WHAT YOU HAVE

ASSETS	
Valuable Stuff	
Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

500k

The INSEPARABLE Story of

EXPLANATIONS: How did you fund this Valuable Stuff?

LIABILITIES		EQUITY	
Owe		Obligation to Investors	
Current	Non-Current		
Creditors	Long-term Loans		

200k



Retained Earnings
Accumulated Profits since day 1 of Trading
Less: Dividends

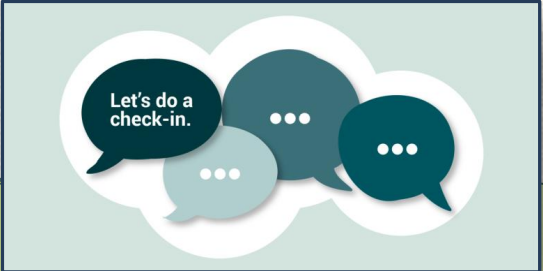
100k

INCOME		EXPENSES	
Trading Income	Other Income	Cost of Sales	Operating Expenses
Sales	Grant	Directly Related to Sale	Indirectly Related to Sale

500k

400k

BALANCE SHEET
The **Financial Position** of the Business;
always at a **point in time**



always over a period of time

Our Learning Journey



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

The Debit & Credit System

The Logic of Accounting

The Language of Finance: Overview





Every African Entrepreneur
Financially Literate & Functional

Our Learning Journey



Decisions
Conversations
Confidence
Competence

Outcomes

Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

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The Language of Finance: Overview



Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

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The Language of Finance: Overview



ONE COIN – TWO STORIES

Key Learnings

The Accounting Equation

The Story of

The INSEPARABLE Story of

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$$\text{Equity} = \text{Capital} + \text{Profit}$$

$$\text{Equity} = \text{Capital} + \text{Profit} - \text{Expenses}$$

ASSETS	
Valuable Stuff	
Current	Non-Current
Bank	
Debtors	
Inventory (Stock)	Land
50	

Practical Exercise

Let's see how this model works by recording 8 transactions into our "Glorified Filing System"

EXPENSES	
Cost of Sales	Operating Expenses
Directly Related to Sale	Indirectly Related to Sale
	400k

BALANCE SHEET

The **Financial Position** of the Business;
always at a **point in time**

INCOME STATEMENT

The **Profit Story**;
always over a **period of time**

The Logic of Accounting

Key Learnings

1. The Model

2. Eight transactions

3. The Accounting (Filing) System

1. The FIVE ELEMENTS of Accounting

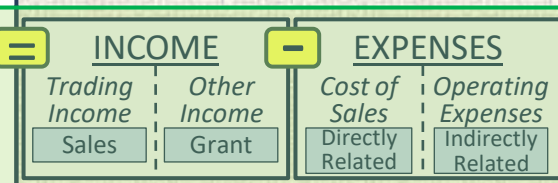
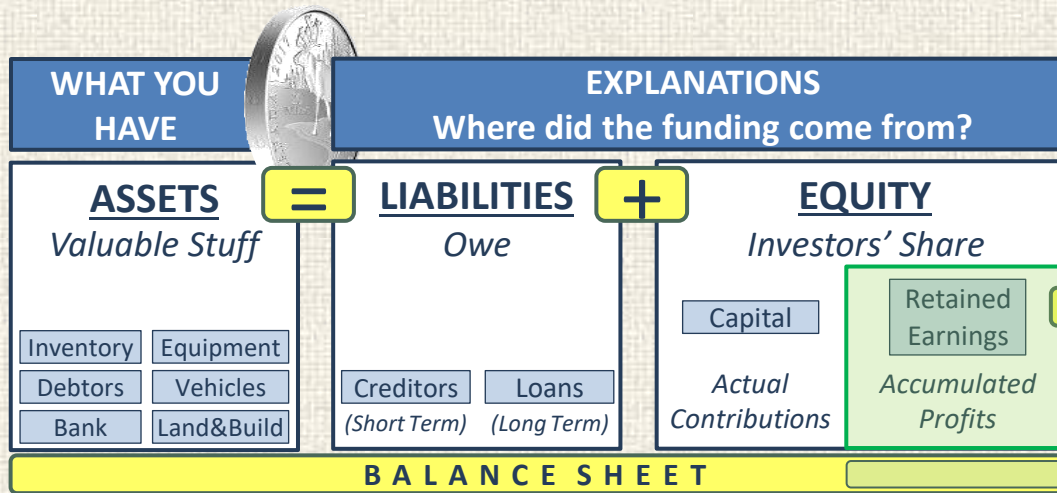
Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\text{Equity} = \text{Capital} + \text{Profit}$$

$$\text{Profit} = \text{Income} - \text{Expenses}$$



	ASSETS	=	LIABILITIES	+	EQUITY	=	INCOME	-	EXPENSES
1									
2									
3									
4									
5									
6									
7									
8									
Balance:	0	=	0	+	0	+	0	-	0
	Assets	=	Liabilities	+	Equity	=	Income	-	Expenses

The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 1

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2												
3												
4												
5												
6												
7												
8												
Balance:		1 000	=	0	+	1 000						

Assets

Explanations



The Logic of Accounting



WHAT YOU HAVE		EXPLANATIONS How did you fund this Valuable Stuff?			
<u>ASSETS</u> <i>Valuable Stuff</i>		=	<u>LIABILITIES</u> <i>Owe</i>	+	<u>EQUITY</u> <i>Obligation to Investors</i>
Current	Non-Current		Current	Non-Current	
Bank	Plant & Equip		Creditors	Long-term Loans	
Debtors	Vehicles				
Inventory	Land & Build				
					Capital <i>Actual Contributions</i>
					Retained Earnings <i>Accumulated Profits</i>

=	<u>INCOME</u>		-	<u>EXPENSES</u>	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 2

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3												
4												
5												
6												
7												
8												
Balance:		3 000	=	2 000	+	1 000						

Assets

Explanations



The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 3

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3	Buy truck	Bank	↓	Vehicles.	↑			No				
4												
5												
6												
7												
8												

Balance:

3 000

=

2 000

+

1 000

Assets

=

Explanations



The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 4

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3	Buy truck	Bank	↓	Vehicles	↑			No				
4	Move some furniture	Bank	↑					↑	← Sales	↑		
5												
6												
7												
8												
Balance:		4 000	=	2 000	+	2 000						

Assets

Explanations



The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 5

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3	Buy truck	Bank	↓	Vehicles	↑			No				
4	Move some furniture	Bank	↑					↑	← Sales	↑		
5	Buy fuel	Bank	↓					↓	←		Fuel	↑
6												
7												
8												

Balance:

3 000

=

2 000

+

1 000

Assets

=

Explanations



The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 6

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3	Buy truck	Bank ↓ Vehicles	↑					No				
4	Move some furniture	Bank	↑					↑	← Sales ↑			
5	Buy fuel	Bank	↓					↓	← Fuel ↑			
6	Loan repayment	Bank	↓	Loan	↓			No				
7												
8												

Balance:

2 000

=

1 000

+

1 000

Assets

=

Explanations



The Logic of Accounting



WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 7

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No				
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No				
3	Buy truck	Bank ↓ Vehicles	↑					No				
4	Move some furniture	Bank	↑					↑	← Sales ↑			
5	Buy fuel	Bank	↓					↓	← Fuel ↑			
6	Loan repayment	Bank	↓	Loan	↓			No				
7	Swap debt for equity			Loan	↓	Capital	↑	No				
8												

Balance:

2 000

=

0

+

2 000

Assets

=

Explanations



The Logic of Accounting

WHAT YOU HAVE	EXPLANATIONS How did you fund this Valuable Stuff?	
---------------	---	--

ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>		+	EQUITY <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Bank	Plant & Equip		Creditors	Long-term Loans		Actual Contributions	Accumulated Profits
Debtors	Vehicles						
Inventory	Land & Build						

=	INCOME		-	EXPENSES	
	Trading Income	Other Income		Cost of Sales	Operating Expenses
	Sales	Grant		Directly Related	Indirectly Related

Tx 8

BALANCE SHEET

INCOME STATEMENT

1	Brother invests	Bank	↑			Capital	↑	No					
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No					
3	Buy truck	Bank ↓ Vehicles	↑					No					
4	Move some furniture	Bank	↑					↑	← Sales ↑				
5	Buy fuel	Bank	↓					↓	← Fuel ↑				
6	Loan repayment	Bank	↓	Loan	↓			No					
7	Swap debt for equity			Loan	↓	Capital	↑	No					
8	Pay dividend	Bank	↓					Dividends	↓				

Balance:

1 000

=

0

+

1 000

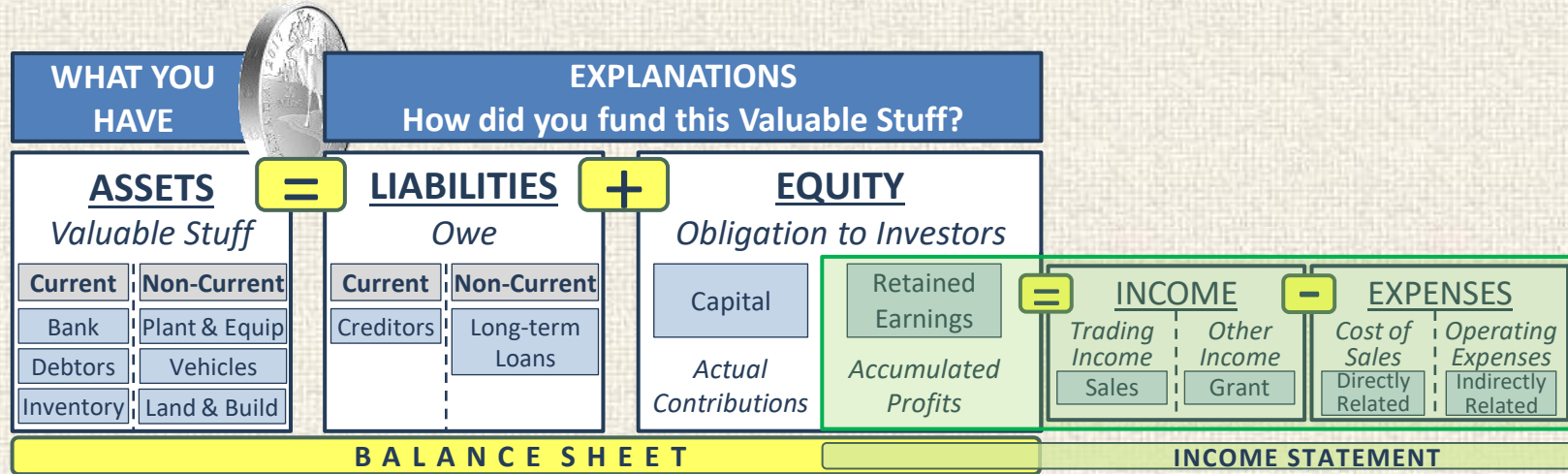
Assets

=

Explanations

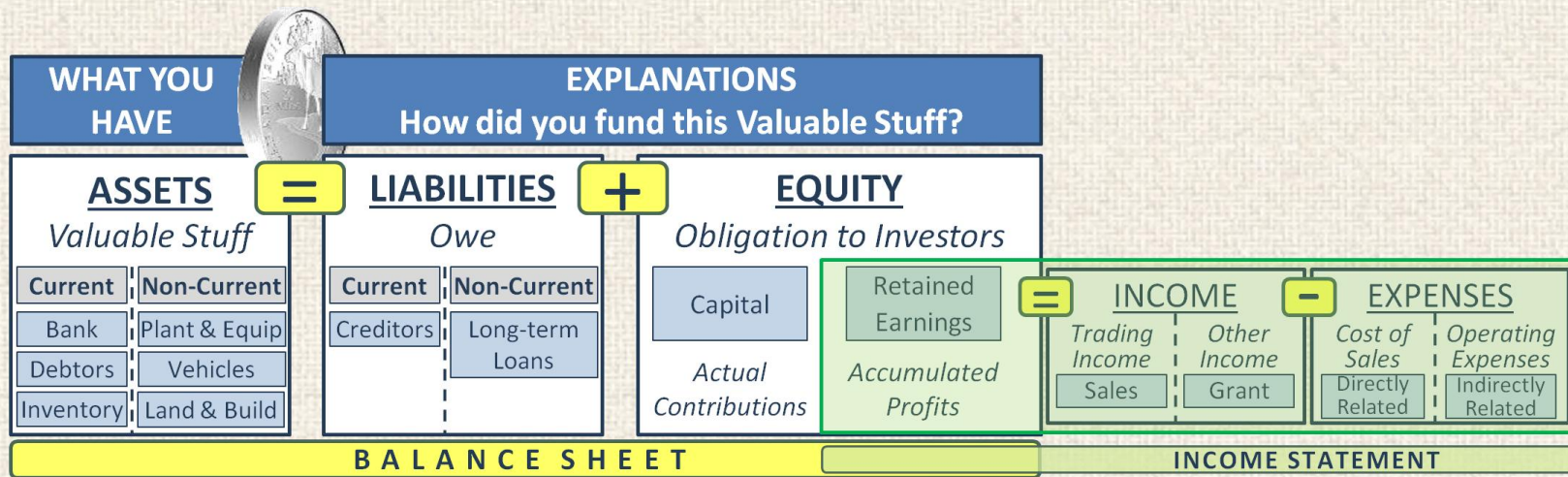


The Logic of Accounting



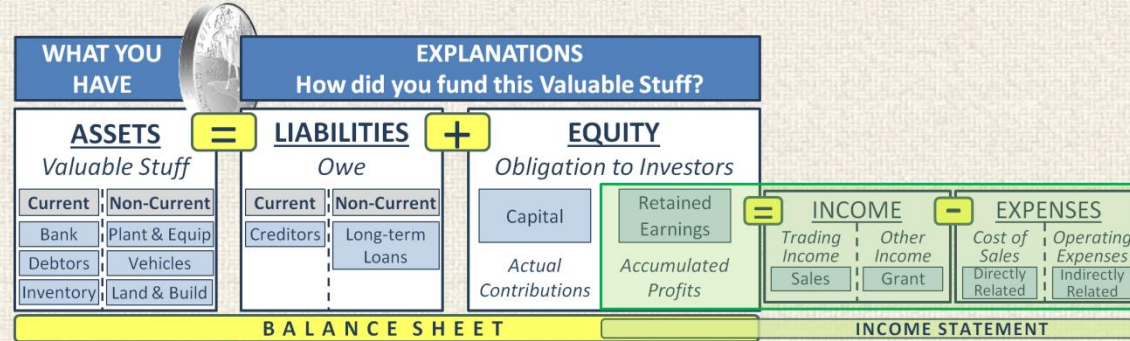
1	Brother invests	Bank	↑			Capital	↑	No					
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No					
3	Buy truck	Bank ↓ Vehicles	↑					No					
4	Move some furniture	Bank	↑					↑	← Sales ↑				
5	Buy fuel	Bank	↓					↓	← Fuel ↑				
6	Loan repayment	Bank	↓	Loan	↓			No					
7	Swap debt for equity			Loan	↓	Capital	↑	No					
8	Pay dividend	Bank	↓					Dividends	↓				
Balance:		1 000	=	0	+	1 000							
		Assets	=	Explanations									

The Logic of Accounting



1	Brother invests	Bank	↑		Capital	↑	No						
2	Aunty Loan (2,000)	Bank	↑	Loan	↑		No						
3	Buy truck	Bank ↓ Vehicles	↑				No						
4	Move some furniture	Bank	↑				↑	← Sales ↑					
5	Buy fuel	Bank	↓				↓	← Fuel ↑					
6	Loan repayment	Bank	↓	Loan	↓		No						
7	Swap debt for equity			Loan	↓	Capital	↑	No					
8	Pay dividend	Bank	↓				Dividends	↓					

The Logic of Accounting



Key Learnings

1. The FIVE ELEMENTS of Accounting

Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\text{Equity} = \text{Capital} + \text{Profit}$$

$$\text{Profit} = \text{Income} - \text{Expenses}$$

3. Transactions have at least 2 effects

***Single effect**

DISCUSS:

Consider the number of **effects** a single transaction can have on our Accounting System

BALANCE SHEET				INCOME STATEMENT			
1 Brother invests	Bank ↑			Capital ↑	No		
2 Aunty Loan (2,000)	Bank ↑	Loan ↑			No		
3 Buy truck	Bank ↓ Vehicles ↑				No		
4 Move some furniture	Bank ↑				↑	Sales ↑	
5 Buy fuel	Bank ↓				↓		Fuel ↑
6 Loan repayment	Bank ↓	Loan ↓			No		
7 Swap debt for equity		Loan ↓		Capital ↑	No		
8 Pay dividend	Bank ↓				Dividends ↓		

1 How many **effects** were there for each of our 8 example transactions?

TWO

2 Could it be possible to have **only ONE effect** for a single transaction?

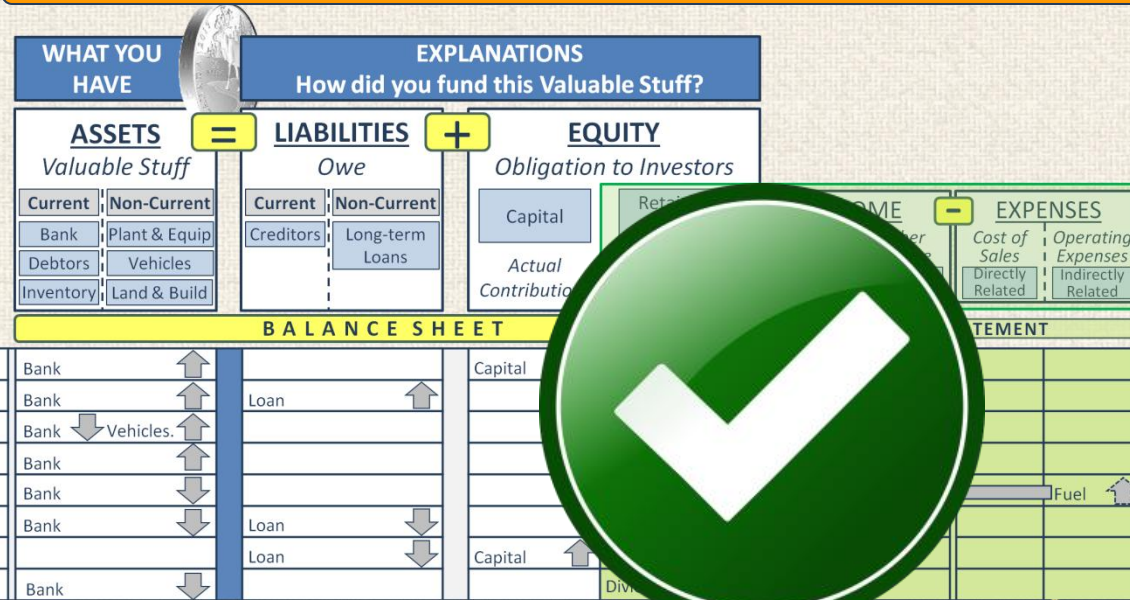
IMPOSSIBLE

3 Could it be possible to have **more than TWO effects** for a single transaction?

ABSOLUTELY

The Logic of Accounting

1 Coin - 2 Stories



Key Learnings

1. The FIVE ELEMENTS of Accounting

Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\text{Equity} = \text{Capital} + \text{Profit}$$

$$\text{Profit} = \text{Income} - \text{Expenses}$$

3. Transactions have at least 2 effects

4. There will ALWAYS be a common-sense way to place the 2+ effects of every single financial transaction, into 1 or more of the 5 containers, with the unavoidable outcome that the 2 sides remain equal



"There has been no need to mention Debits and Credits!!"

Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

The Debit & Credit System

The Logic of Accounting

The Language of Finance: Overview



Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

The Debit & Credit System

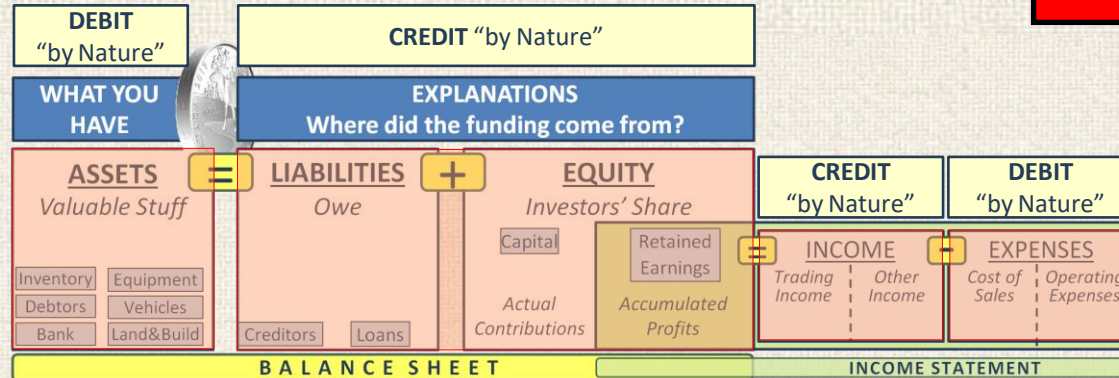
The Logic of Accounting

The Language of Finance: Overview



The Debits and Credits System

Key Learnings



1. The FIVE ELEMENTS of Accounting
Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\text{Equity} = \text{Capital} + \text{Profit}$$

$$\text{Profit} = \text{Income} - \text{Expenses}$$

3. Transactions have at least 2 effects

4. There will ALWAYS be a common-sense way to place the 2+ effects of every single financial transaction, into 1 or more of the 5 containers, with the unavoidable outcome that the 2 sides remain equal

BALANCE SHEET				INCOME STATEMENT			
1 Brother invests	Bank ↑		Capital ↑	No			
2 Aunty Loan (2,000)	Bank ↑	Loan ↑		No			
3 Buy truck	Bank ↓ Vehicles ↑			No			
4 Move some furniture	Bank ↑			↑ Sales ↑			
5 Buy fuel	Bank ↓			↓			Fuel ↑
6 Loan repayment	Bank ↓	Loan ↓		No			
7 Swap debt for equity		Loan ↓	Capital ↑	No			
8 Pay dividend	Bank ↓		Dividends ↓				

1 The 5 Elements are assigned to be **DEBIT** or **CREDIT** "by Nature"

2 A Transaction is ALWAYS made up of at least one **DEBIT** and one **CREDIT** "effect"

Then a **SAME** Nature & Effect: value goes **UP**

b **OPPOSITE** Nature & Effect: value goes **DOWN**



"So how does the Debits and Credits System work?"

Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

✓ The Debit & Credit System

✓ The Logic of Accounting

✓ The Language of Finance: Overview



Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

The Business Activities: Practical Application

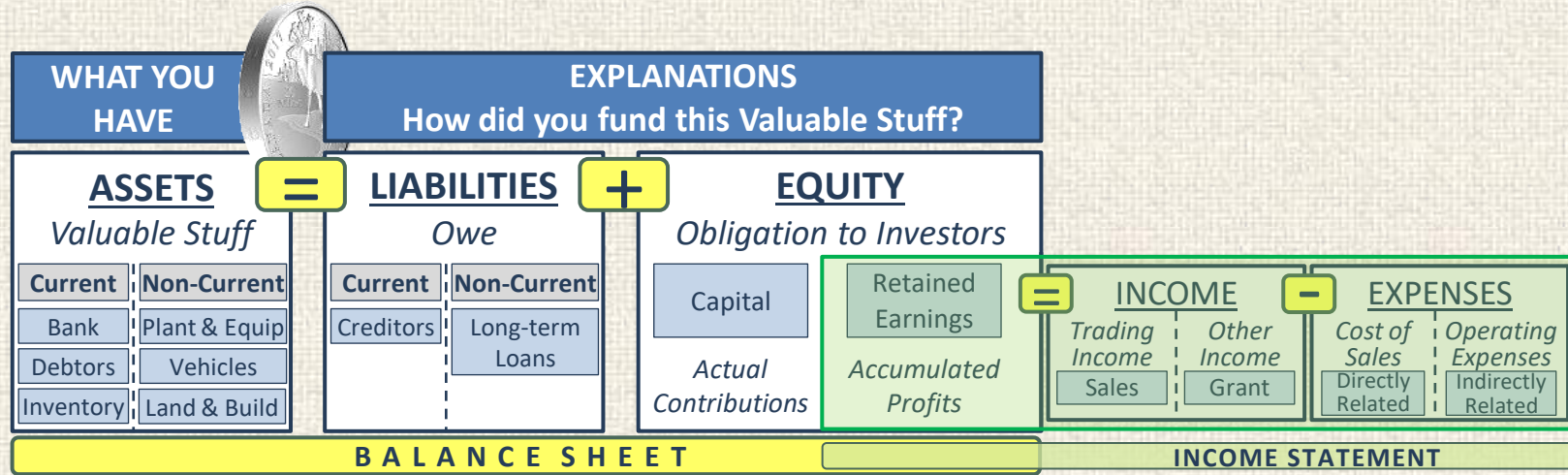
✓ The Debit & Credit System

✓ The Logic of Accounting

✓ The Language of Finance: Overview



The Logic of Accounting

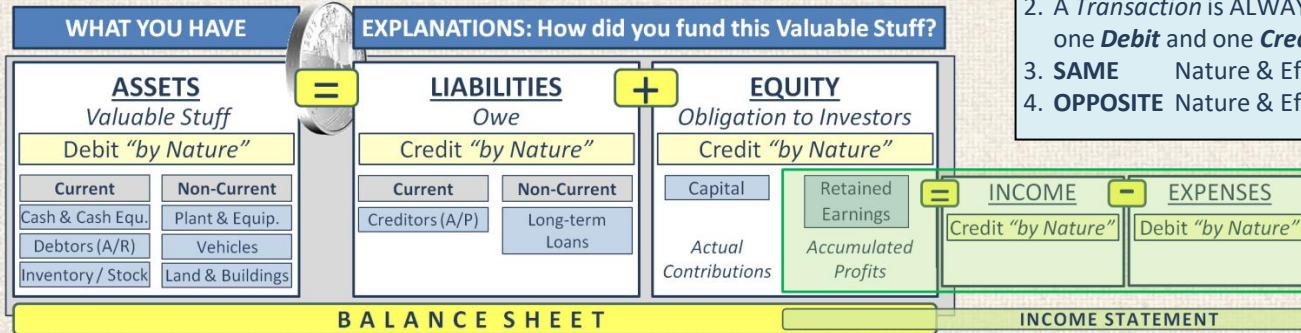


1	Brother invests	Bank	↑			Capital	↑	No					
2	Aunty Loan (2,000)	Bank	↑	Loan	↑			No					
3	Buy truck	Bank ↓ Vehicles	↑					No					
4	Move some furniture	Bank	↑					↑	← Sales ↑				
5	Buy fuel	Bank	↓					↓	← Fuel ↑				
6	Loan repayment	Bank	↓	Loan	↓			No					
7	Swap debt for equity			Loan	↓	Capital	↑	No					
8	Pay dividend	Bank	↓					Dividends	↓				
Balance:		1 000	=	0	+	1 000							
		Assets	=	Explanations									

Business Activities Worksheet

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET

INCOME STATEMENT

Cash Flow Impact

Tx	Description	Account	Up / Down	Dr / Cr	Account	Up / Down	Dr / Cr	Up / Down	Dr / Cr	Profit Impact (none; +ve or -ve)	Acc	Up / Down	Dr / Cr	Acc	Up / Down	Dr / Cr	Impact (none; future; +ve or -ve)	Category (Operating; Investing; Financing)
1	Brother invests	Bank	↑	Dr				↑	Cr	No							+ve	Financing
2	Aunty Loan	Bank	↑	Dr	Loan	↑	Cr			No							+ve	Financing
3	Buy truck	Bank	↓	Cr						No							-ve	Investing
		Vehicles	↑	Dr														
4	Move some furniture	Bank	↑	Dr						↑	Sales	↑	Cr				+ve	Operating
5	Buy fuel	Bank	↓	Cr						↓		↓		Fuel	↑	Dr	-ve	Operating
6	Loan repayment	Bank	↓	Cr	Loan	↓	Dr			No							-ve	Financing
7	Swap debt for equity				Loan	↓	Dr	↑	Cr	No							None	
8	Pay dividend	Bank	↓	Cr						Div	↓	Dr					-ve	Financing

Business Activities

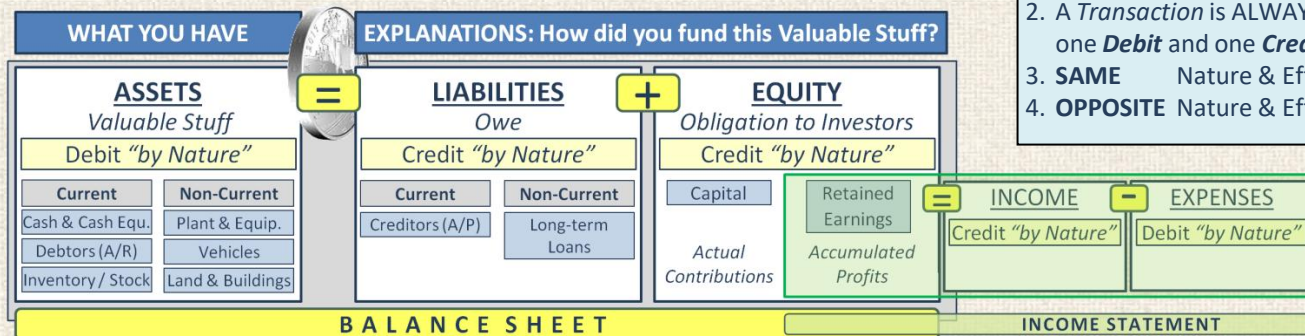
	SETTING THINGS UP
1	Obtain some Equity funding for the business
2	Obtain some Debt funding
3	Buy an asset for cash (any asset)
4	Buy an asset on credit (any asset)
	DAY-TO-DAY ACTIVITIES
5	Cash purchase (not an asset)
6	Credit purchase (not an asset)
7	Cash sale (service item; no inventory)
8	Cash sale (inventory item)
9	Credit sale (service item; no inventory)
10	We pay the creditor from (6)
11	The debtor from (9) makes a payment
12	Take deposit from a customer for a special order stock item
13	Pay a supplier up front for the special order item for the customer
14	The supplier delivers the special order item to us
15	Our customer collects the special order item
16	A customer returns something
17	We return something to a supplier for credit

	MONTHLY-TYPE ACTIVITIES
18	Interest on loans
19	Depreciation / Amortisation
20	Expense accruals (know cost amount that will be charged by supplier but you have not yet received the invoice) and provisions (cost amount is unknown so you have to estimate)
21	Loan repayment
	LESS OFTEN / ANNUAL
22	Debt / equity swops
23	Dividends (declared and paid in cash)
24	Dividends (declared but not paid out)
25	Disposal of a Fixed (Non-Current) Asset (at book value)
26	Disposal of a Fixed (Non-Current) Asset (at a profit)
27	Disposal of a Fixed (Non-Current) Asset (at a loss)
	OTHER
28	VAT on purchases
29	VAT on sales
30	Paying VAT owed to SARS

Business Activities Worksheet (Answers 1 – 7)

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**

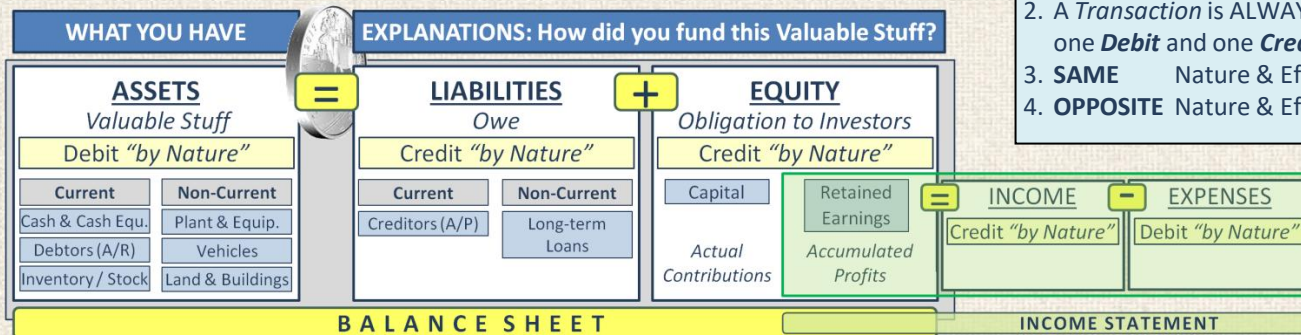


1	Equity funding	Bank Dr Up			Cr Up	No			+ (Financing)
2	Debt funding	Bank Dr up		Loan Cr Up		No			+ (Financing)
3	Buy Asset cash	Bank Cr Down Asset Dr Up				No			- (Operating / Investing)
4	Asset on credit	Asset Dr Up		Asset Finance Cr Up		No			None now; - in future
5	Cash purchase	Bank Cr Down				Down		ExpenseDr Up	- (Operating)
6	Credit purchase			Creditors Cr Up		Down		ExpenseDr up	None now; - in future
7	Cash sale (service item)	Bank Dr Up				Up	Sale Cr Up		+ (Operating)
Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down		Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)	

Business Activities Worksheet (Answers 8 – 12)

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET

INCOME STATEMENT

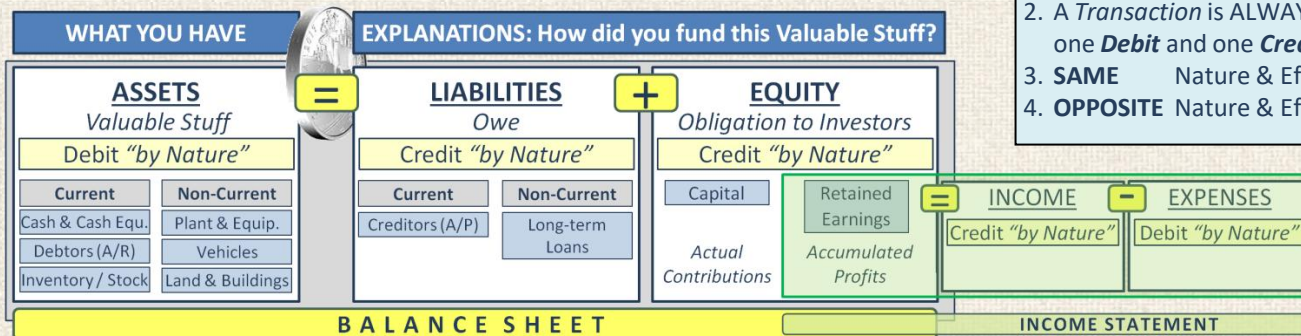
Cash Flow Impact

Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down	Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)
8	Cash sale (inventory item)	a. Bank Dr Up (@ Selling Price) b. Inv. Cr Down (Cost)			Yes	a. Sales Cr Up (Selling) b. CoS Dr Up (Cost)	+ (Operating)
9	Credit sale	Debtors Dr up			Yes	Sales Cr Up	None now; + in future
10	Creditor payment	Bank Cr Down	Creditor Dr Down		No		- (Operating)
11	Debtor payment	Bank Dr Up Debtor Cr Down					+ (Operating)
12	Receive Customer deposit	Bank Dr Up	Deferred Income / Unearned income / Income Received in Advance Cr Up		No		+ (Operating)

Business Activities Worksheet (Answers 13 – 16)

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET

INCOME STATEMENT

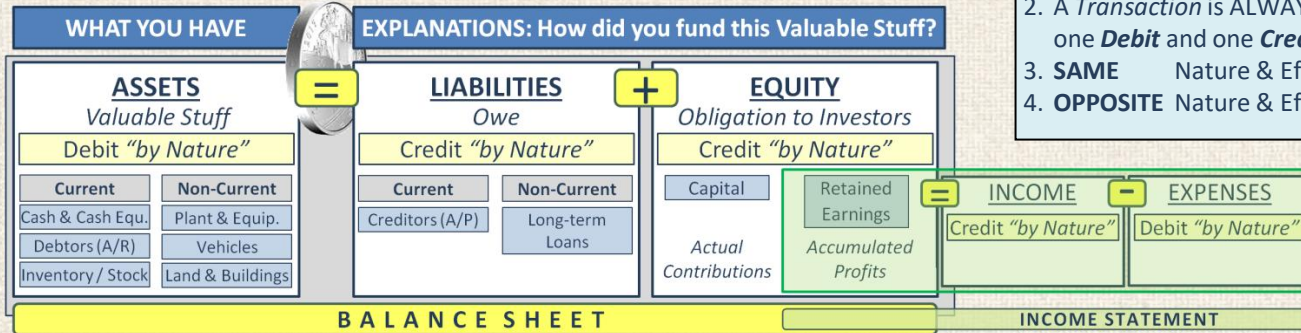
Cash Flow Impact

Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down	Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)
13	Pay Supplier deposit	Bank Cr Down Prepaid Expenses Dr Up			No		- (Operating)
14	Supplier delivers	Prepaid Expenses Cr Down Inv. Dr Up			No		None
15	Customer collects	b. Inv. Cr Down	a. Deferred Income Dr Down		Yes	a. Sales Cr Up (Selling) b. CoS Dr Up (Cost)	None
16	Customer return item for cash	a. Bank Cr Down (Sell) b. Inv. Dr Up (Cost)			Yes	a. Sales Dr Down (Sell) b. CoS Cr Down (Cost)	- (Operating)

Business Activities Worksheet (Answers 17 – 20)

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET

INCOME STATEMENT

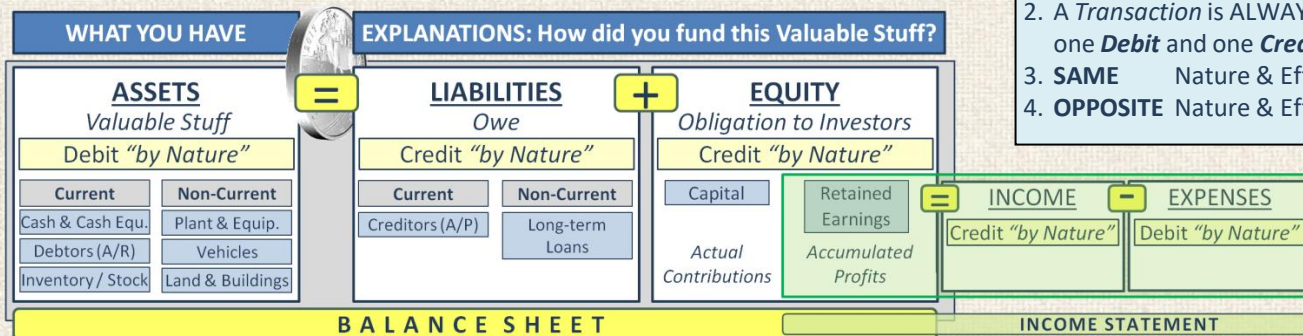
Cash Flow Impact

Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down	Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)
17	Return item to supplier for credit	Inv. Cr Down	Creditors Dr Down		No		None
18	Loan interest		Loan Cr up		Yes	Interest Dr Up	None
19	Depreciation (effective impact)	Equipment Cr Down			Yes	Depr Dr Up	None
	Depreciation (actual entries)	(original Equipment acc left alone to keep original cost price)	Equipment Accumulated Depreciation Cr Up		Yes	Depr Dr Up	None
20	Accrual / Provision		Accrual / Provision account Cr Up		Yes	Accrual / Provision Acc Dr Up	None

Business Activities Worksheet (Answers 21 – 25)

The Debit & Credit System Rules

1. All Accounts are **Debit** or **Credit** "by Nature"
2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET

INCOME STATEMENT

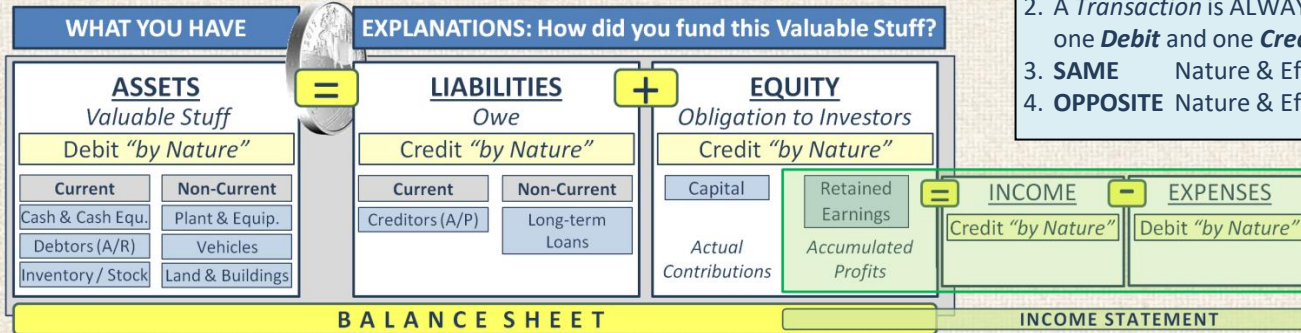
Cash Flow Impact

Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down	Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)
21	Loan repayment	Bank Cr Down	Loan Dr Down		No		- (Financing)
22	Debt / Equity swap		Loan Dr Down	Cr Up	No		None
23	Dividends – cash	Bank Cr Down			Div Dr Down		- (Financing)
24	Dividends – credit		Shareholder Loan Cr Up		Div Dr Down		None
25	Fixed asset sale at book value	Bank Dr up Vehicle Cr Down (at depreciated amount)			No		+ (Investing)

Business Activities Worksheet (Answers 26 – 27)

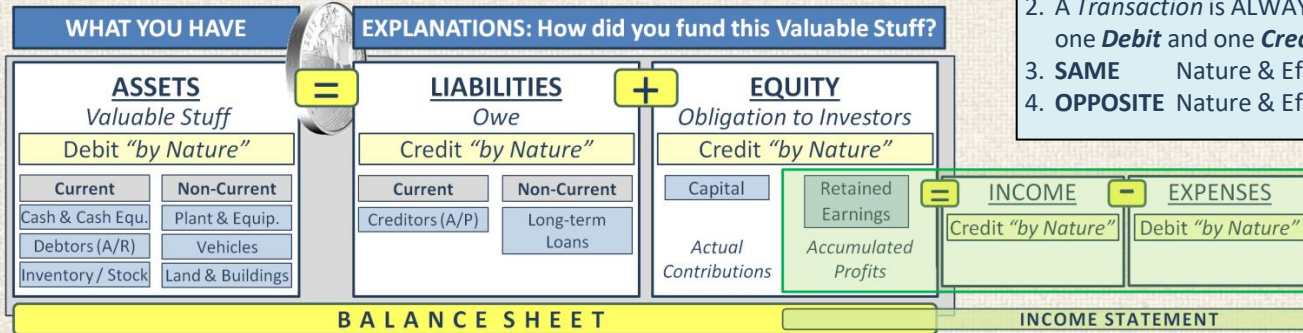
The Debit & Credit System Rules

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4. **OPPOSITE** Nature & Effect: value goes **DOWN**



BALANCE SHEET				INCOME STATEMENT		Cash Flow Impact
26	Fixed asset sale at a profit	Bank Dr up R100k Vehicle Cr Down (at depreciated amount say R80k)		Yes	Other – Profit / Loss on Sales of Fixed Assets Cr Up R20k	+ (Investing)
27	Fixed asset sale at a loss	Bank Dr up R70k Vehicle Cr Down (at depreciated amount say R80k)		Yes	Other – Profit / Loss on Sales of Fixed Assets Dr Down R10k	+ (Investing)
Tx	Description	Account; Dr/Cr; Up/Down	Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down

Business Activities Worksheet (Answers 28 – 30)



The Debit & Credit System Rules

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2. A *Transaction* is ALWAYS made up of at least one **Debit** and one **Credit** "effect"
3. **SAME** Nature & Effect: value goes **UP**
4. **OPPOSITE** Nature & Effect: value goes **DOWN**

28	VAT on Credit Expense	INPUT VAT Dr Up R15 (SARS owes us)		Creditors Cr Up R115		Yes		Exp Dr Up R100	None
29	VAT on credit sale	Debtors Dr Up R230		OUTPUT VAT Cr Up R30		Yes	Sales Cr Up R200		None
30	Pay SARS VAT	Bank Cr Down R15		SARS VAT Dr Down R15		No			- (Operating)
		Different accounting packages / accountants can implement the VAT accounts differently; but the impact is the same in principle							
Tx	Description	Account; Dr/Cr; Up/Down		Account; Dr/Cr; Up/Down	Dr/Cr; Up/Down	Profit Impact (none; + or -)	Account; Dr/Cr; Up/Down		Cash Flow Impact (none; future; + or -); and category (Operating; Investing; Financing)

Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail

Value Creation: an Overview

✓ The Business Activities: Practical Application

✓ The Debit & Credit System

✓ The Logic of Accounting

✓ The Language of Finance: Overview



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Value Creation: Detail

Value Creation: an Overview

✓ The Business Activities: Practical Application

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How does a business make money?

PROFIT

What is the one thing
that can break any
business?

CASH FLOW

What are shareholders
interested in?

RETURN ON INVESTMENT

How does a
business make
money?

PROFIT

2

What is the one thing
that can break any
business?

CASH FLOW

1

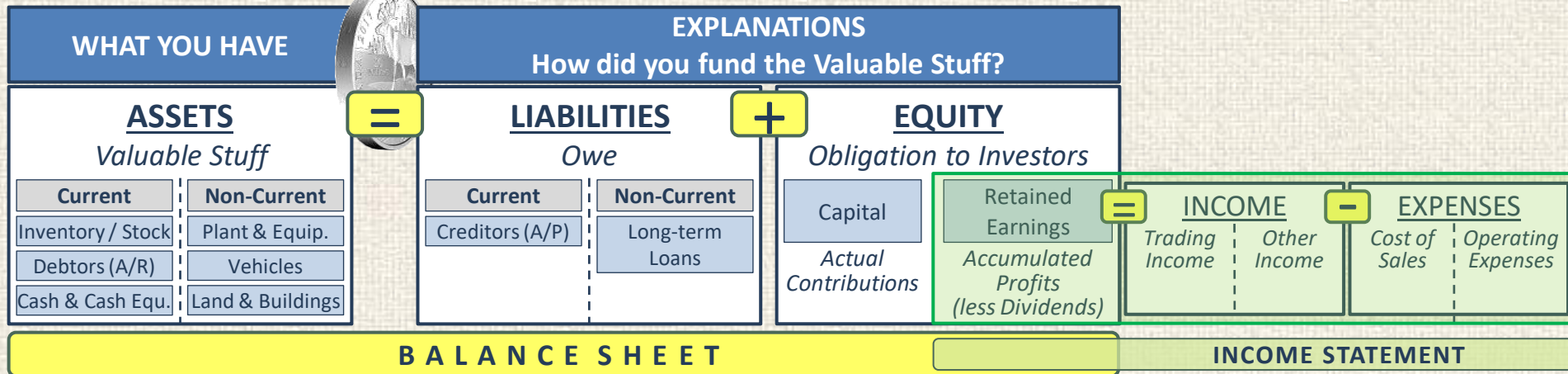
What are
shareholders
interested in?

RETURN ON
INVESTMENT

3

In what order would you
prioritise these three metrics?

Value-Creation: Overview

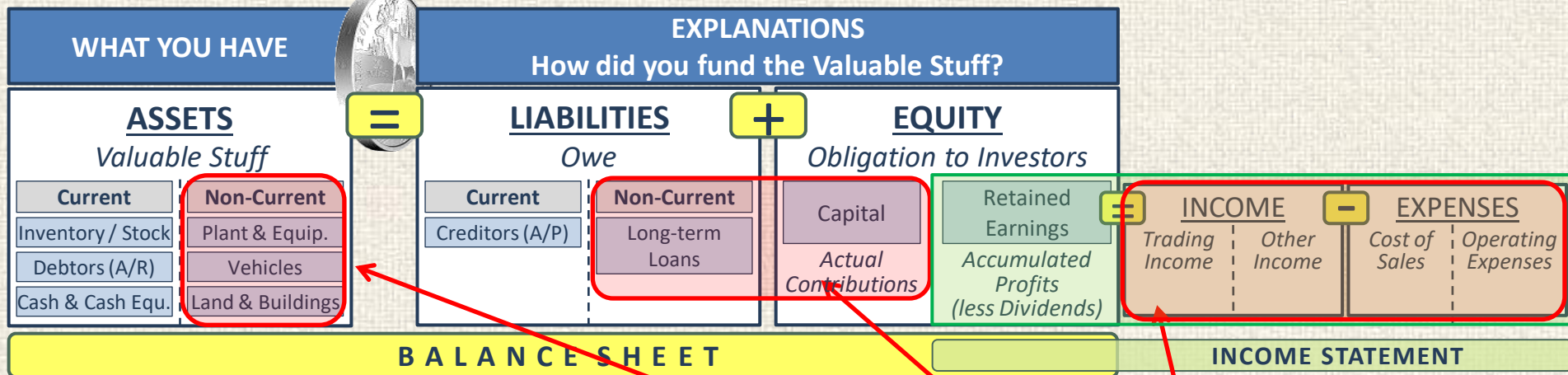


1

What is the one thing that can break any business?

CASH FLOW

Value-Creation: Overview



1

What is the one thing that can break any business?

CASH FLOW

Where is CF (history) Reported?

Cash Flow Statement

What story does the Cash Flow Statement tell?

Everything going through the bank, grouped in 3 categories

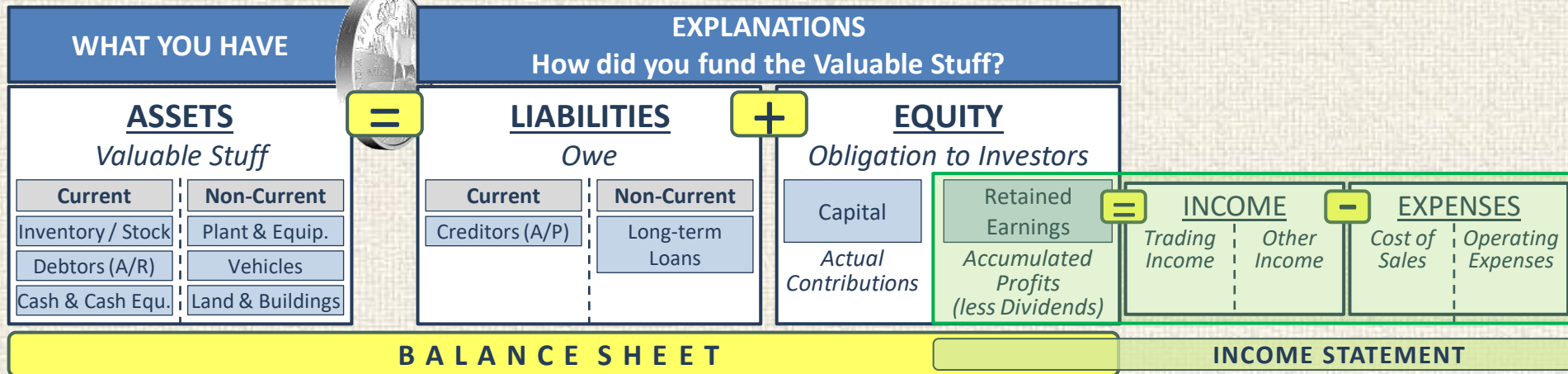
Which way does the Cash Flow Statement look?

Backwards

Cash Flow Statement

Starting bank Balance	xxxx
+ / - Operating Activities	xxxx
+ / - Investing Activities	xxxx
+ / - Financing Activities	xxxx
Ending bank Balance	xxxx

Value-Creation: Overview



1

What is the one thing that can break any business?

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Backwards

Is this helpful? What do you *really* need?

Cash Flow Forecast

Cash Flow Forecast

Date	Description	Amount	Balance
Today			x,xxx.xx
dd/mm			
dd/mm			
dd/mm			
			x,xxx.xx

Value-Creation: Overview

WHAT YOU HAVE		EXPLANATIONS How did you fund the Valuable Stuff?	
ASSETS <i>Valuable Stuff</i>		LIABILITIES + EQUITY	
Current Inventory / Stock Debtors (A/R) Cash & Cash Equ.		Owe Current Creditors (A/P)	Obligation to Investors Capital Actual Contributions
Non-Current Plant & Equip. Vehicles Land & Buildings		Non-Current Long-term Loans	Retained Earnings Accumulated Profits (less Dividends)
			INCOME - EXPENSES
			Trading Income Other Income Cost of Sales Operating Expenses
BALANCE SHEET		INCOME STATEMENT	

1

What is the one thing that can break any business?

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Which way does the Cash Flow Statement look?

Backwards

Is this helpful? What do you *really* need?

Cash Flow Forecast

What's the difference between Profit and Cash?

1. Funding received (Loan or Equity)



Is profit affected?



Is the bank affected?

Value-Creation: Overview

WHAT YOU HAVE		EXPLANATIONS How did you fund the Valuable Stuff?	
<u>ASSETS</u> <i>Valuable Stuff</i>		<u>LIABILITIES</u> <i>Owe</i>	<u>EQUITY</u> <i>Obligation to Investors</i>
Current	Non-Current	Current	Capital
Inventory / Stock	Plant & Equip.	Creditors (A/P)	Actual Contributions
Debtors (A/R)	Vehicles	Long-term Loans	Retained Earnings
Cash & Cash Equ.	Land & Buildings		Accumulated Profits (less Dividends)

<u>INCOME</u>		<u>EXPENSES</u>
Trading Income	Other Income	Cost of Sales
		Operating Expenses

BALANCE SHEET

INCOME STATEMENT

CASH FLOW

Where is CF (history) Reported?

Cash Flow Statement

What story does the Cash Flow Statement tell?

Everything going through the bank, grouped in 3 categories

Which way does the Cash Flow Statement look?

Backwards

Is this helpful? What do you *really* need?

Cash Flow Forecast

What's the difference between Profit and Cash?

1. Funding received (Loan or Equity)
2. Sales on Credit



Is profit affected?

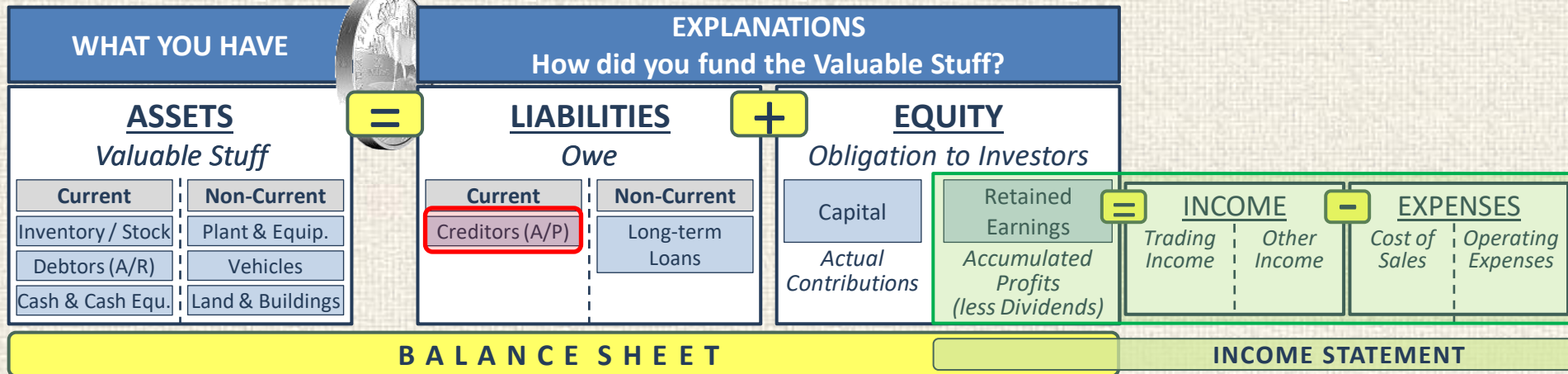


Is the bank affected?

1

What is the one thing that can break any business?

Value-Creation: Overview



1

What is the one thing that can break any business?

CASH FLOW

Where is CF (history) Reported?

Cash Flow Statement

What story does the Cash Flow Statement tell?

Everything going through the bank, grouped in 3 categories

Which way does the Cash Flow Statement look?

Backwards

Is this helpful? What do you *really* need?

Cash Flow Forecast

What's the difference between Profit and Cash?

1. Funding received (Loan or Equity)
2. Sales on Credit
3. Purchases on Credit

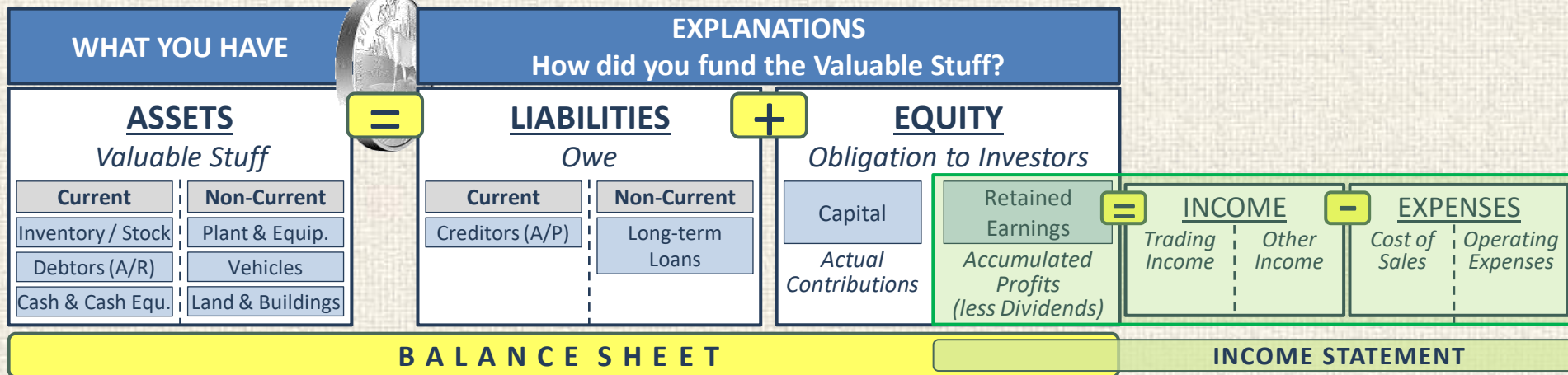


Is profit affected?



Is the bank affected?

Value-Creation: Overview



1

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CASH FLOW

Where is CF (history) Reported?

Cash Flow Statement

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Everything going through the bank, grouped in 3 categories

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Backwards

Is this helpful? What do you *really* need?

Cash Flow Forecast

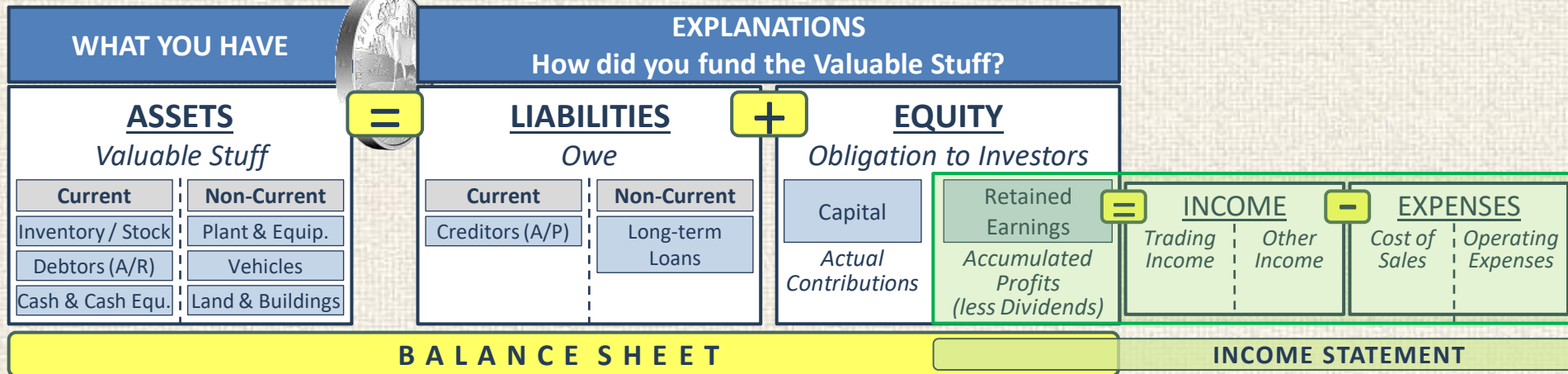
What's the difference between Profit and Cash?

1. Funding received (Loan or Equity)
2. Sales on Credit
3. Purchases on Credit

Focus is on ...

Sales & the Bank

Value-Creation: Overview



PROFIT

2

How
does a business
make money?

Value-Creation: Overview

WHAT YOU HAVE		EXPLANATIONS How did you fund the Valuable Stuff?					
<u>ASSETS</u> <i>Valuable Stuff</i>		=	<u>LIABILITIES</u> <i>Owe</i>		+	<u>EQUITY</u> <i>Obligation to Investors</i>	
Current	Non-Current		Current	Non-Current		Capital	Retained Earnings
Inventory / Stock	Plant & Equip.		Creditors (A/P)	Long-term Loans		Actual Contributions	Accumulated Profits (less Dividends)
Debtors (A/R)	Vehicles						
Cash & Cash Equ.	Land & Buildings						

BALANCE SHEET

INCOME STATEMENT

PROFIT

Focus is on ...

Profitable Sales (Income Statement)

How is this calculated?

Income - Expenses

Where is this Reported?

Income Statement

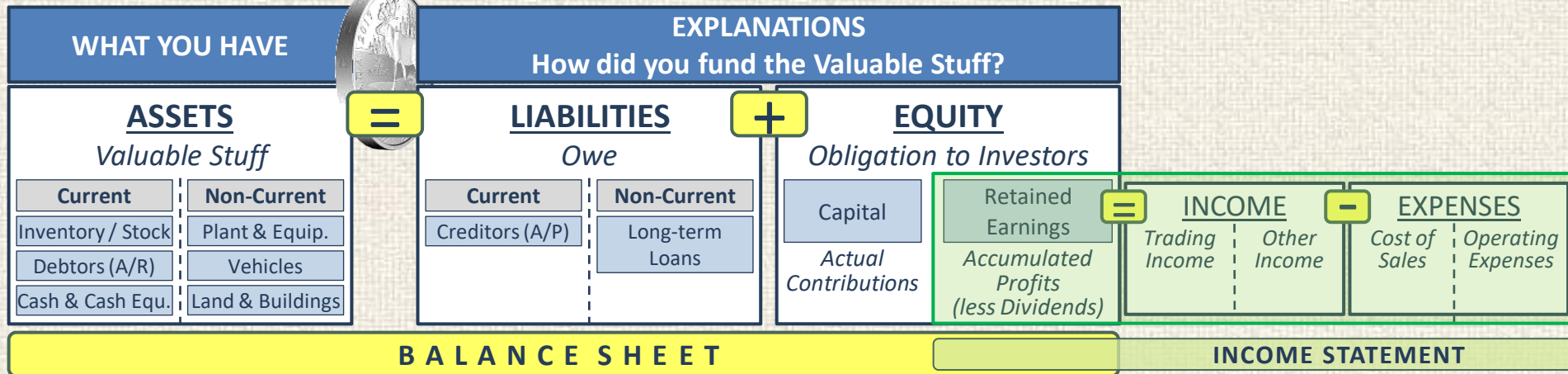
What are the 3 layers of Profit in the Income Statement?

	Sales	100
less	Cost of Sales	40
=	Gross Profit	60
less	Operating Expenses	25
=	Operating Profit	35
less	Income Tax (20%)	7
=	Net Profit	28

2

How
does a business
make money?

Value-Creation: Overview



RETURN ON INVESTMENT

3

What

are
shareholders
interested in?

Value-Creation: Overview

WHAT YOU HAVE		EXPLANATIONS How did you fund the Valuable Stuff?			
ASSETS <i>Valuable Stuff</i>		=	LIABILITIES <i>Owe</i>	+	EQUITY <i>Obligation to Investors</i>
Current	Non-Current		Current		Capital
Inventory / Stock	Plant & Equip.		Creditors (A/P)		Actual Contributions
Debtors (A/R)	Vehicles				Retained Earnings
Cash & Cash Equ.	Land & Buildings				Accumulated Profits (less Dividends)
					=
					INCOME
					Trading Income
					Other Income
					=
					EXPENSES
					Cost of Sales
					Operating Expenses

BALANCE SHEET

INCOME STATEMENT

RETURN ON INVESTMENT

What does "ROI" mean?

It's a broad, generic term

What is the narrower term when we apply "ROI" to a business?

We replace "Return on *Investment*" with "Return on *Equity*"

What does "Return" mean?

Net Profit, always for a full Year

So "Return on Equity" is then

Net Profit
Equity

Exercise: Calculate RoE if Net profit is 50,000, and Equity is 250,000

50,000
250,000

=

20%

Sales	100
less Cost of Sales	40
= Gross Profit	60
less Operating Expenses	25
= Operating Profit	35
less Income Tax (20%)	7
= Net Profit	28

3 What are shareholders interested in?

Value-Creation: Overview

WHAT YOU HAVE		EXPLANATIONS How did you fund the Valuable Stuff?	
ASSETS <i>Valuable Stuff</i>		LIABILITIES	EQUITY
Current Inventory / Stock Debtors (A/R) Cash & Cash Equ.		Owe Current Creditors (A/P)	Obligation to Investors Capital Actual Contributions
Non-Current Plant & Equip. Vehicles Land & Buildings		Non-Current Long-term Loans	Retained Earnings Accumulated Profits (less Dividends)
			INCOME Trading Income Other Income
			EXPENSES Cost of Sales Operating Expenses
BALANCE SHEET		INCOME STATEMENT	

RETURN ON INVESTMENT

Focus is on . . .
The Whole Business

What does "ROI" mean?

It's a broad, generic term

What is the narrower term when we apply "ROI" to a business?

*We replace "Return on **Investment**" with . . .*

*"Return on **Equity**"*

What does "Return" mean?

Net Profit**, always for a **full Year

So "Return on Equity" is then

Net Profit

Equity

Exercise: Calculate RoE if Net profit is 50,000, and Equity is 250,000

$$\frac{50,000}{250,000}$$

=

20%

3 What are shareholders interested in?

3

RETURN ON INVESTMENT

Focus on the Whole Business

2

PROFIT

Focus on the Profitable Sales (Income Statement)

1

CASH FLOW

Focus on Sales & the Bank

Our Learning Journey

*Every African Entrepreneur
Financially Literate & Functional*



Value Creation: Detail



Value Creation: an Overview



The Business Activities: Practical Application



The Debit & Credit System



The Logic of Accounting



The Language of Finance: Overview



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Value Creation: Detail



Value Creation: an Overview



The Business Activities: Practical Application



The Debit & Credit System



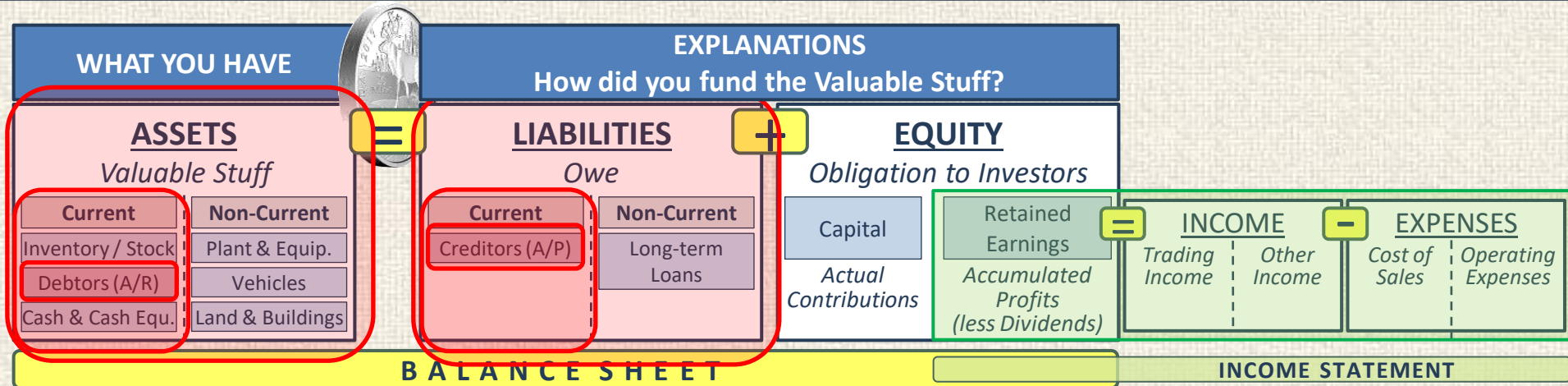
The Logic of Accounting



The Language of Finance: Overview



Value-Creation: Detail



1

What is the one thing that can break any business?

CASH FLOW (LIQUIDITY)

Tools to help you manage this

Cash flow forecast

Aged Debtors Report

Aged Creditors Report

A common measure of "Liquidity"

Current Ratio

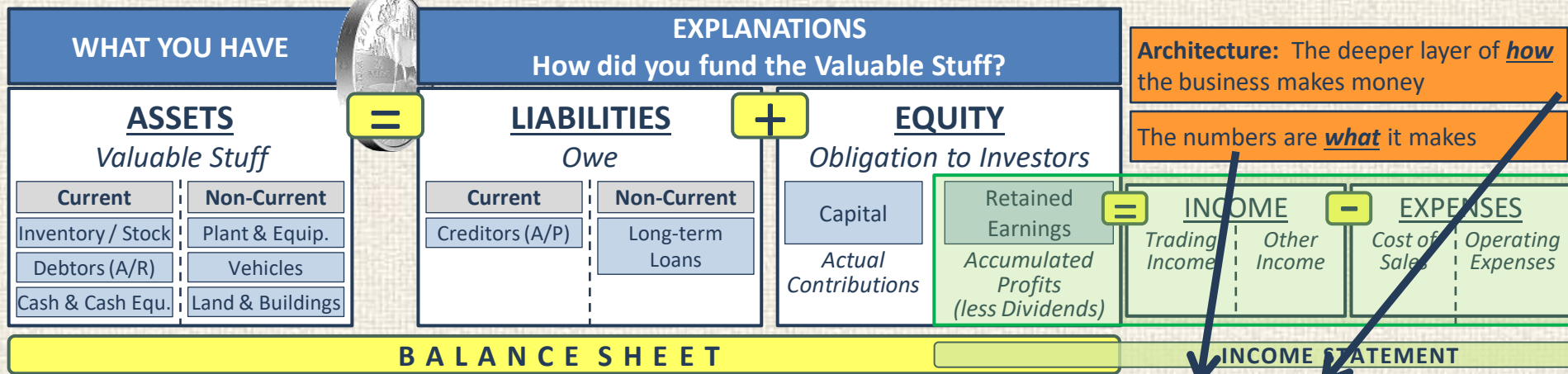
Current Assets
Current Liabilities

Industry standard is current assets should be twice current liabilities

What is "solvency"?

A measure of total Liabilities compared to total Assets
If total Liabilities > total Assets you are "insolvent"

Value-Creation: Detail



2

How does a business make money?

PROFIT-ABILITY

We've seen these *numbers* before

How do we *compare* ourselves?

Express the numbers as a %



	Number	I/S Architecture
Sales	100	
less CoS	40	
= GP	<u>60</u>	<u>60%</u>
less "Opex"	25	
= OP	<u>35</u>	<u>35%</u>
Less Tax (20%)	7	
= NP	<u><u>28</u></u>	<u><u>28%</u></u>

Gross Profit
Sales
GP Margin or %

Op. Profit
Sales
Op. Margin or %

Net Profit
Sales
NP Margin or %

Value-Creation: Detail

WHAT YOU HAVE

ASSETS

Valuable Stuff

Current	Non-Current
Inventory / Stock	Plant & Equip.
Debtors (A/R)	Vehicles
Cash & Cash Equ.	Land & Buildings

EXPLANATIONS

How did you fund the Valuable Stuff?

LIABILITIES

Owe

Current	Non-Current
Creditors (A/P)	Long-term Loans

EQUITY

Obligation to Investors

Capital
Actual Contributions

Architecture: The deeper layer of *how* the business makes money

The numbers are *what* it makes

INCOME

Trading Income Other Income

EXPENSES

Cost of Sales Operating Expenses

BALANCE SHEET

INCOME STATEMENT

2

How
does a business
make money?

PROFITABILITY

We've seen these *numbers* before

How do we *compare* ourselves?

Express the numbers as a %

Architecture change over time?

Architectures in an *INDUSTRY*?

Unless . . . ?

D for . . . **DISRUPTION**

PLANNING: Architecture 1st; then *Numbers*

	Number	I/S Architecture
Sales	100	
less CoS	40	
= GP	<u>60</u>	<u>60%</u>
less "Opex"	25	
= OP	<u>35</u>	<u>35%</u>
Less Tax (20%)	7	
= NP	<u><u>28</u></u>	<u><u>28%</u></u>

Gross Profit
Sales

GP Margin or %

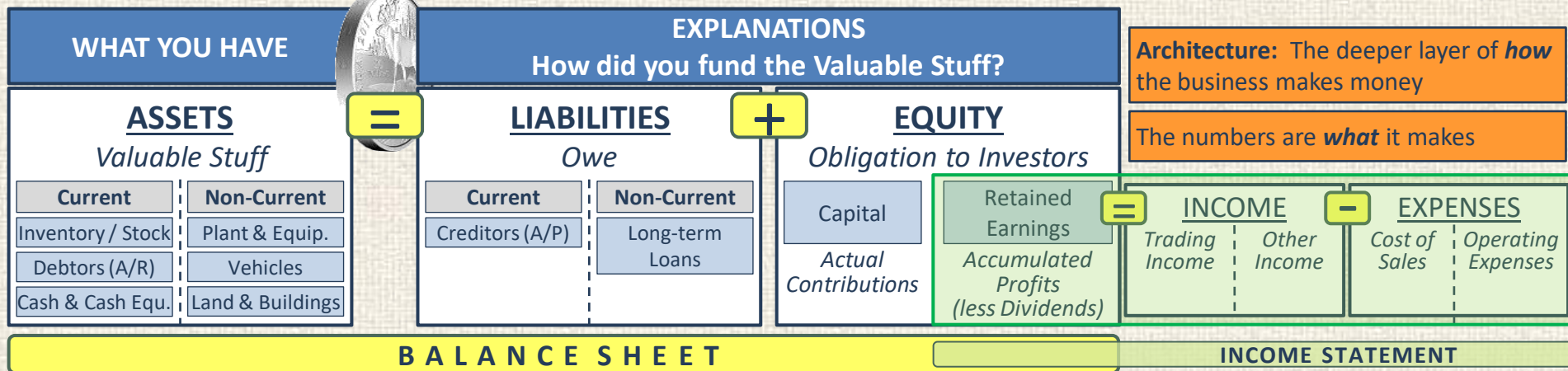
Op. Profit
Sales

Op. Margin or %

Net Profit
Sales

NP Margin or %

Value-Creation: Detail



2

How

does a business make money?

PROFITABILITY

Exercise:

Examine the reported numbers for period 1 and 2 and prepare your comments for your Board Meeting tomorrow

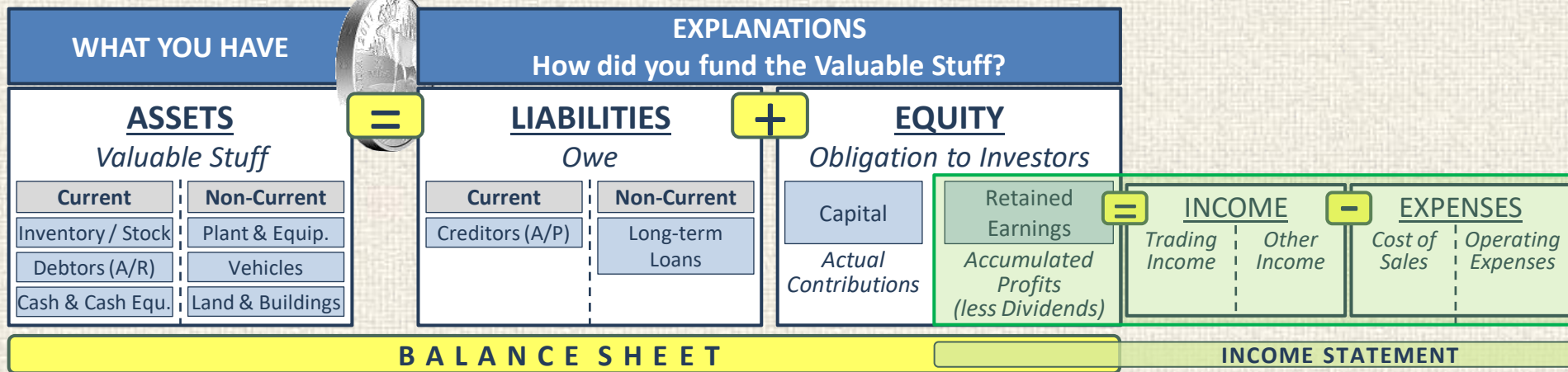
	Period1		Period 2
Sales	100		200
CoS	40		100
GP	60	60%	100
			50%

Sales and GP NUMBERS are much higher, but....

GP% is significantly lower

What could the reasons be?

Value-Creation: Detail



3

What are shareholders interested in?

RETURN ON EQUITY

What do shareholders (outsiders) want?

Return on Equity

3 Levers available to Management (insiders) to impact RoE

Top number (Net Profit) - as large as possible

1. **PROFITABILITY**

Bottom number (Equity) - as small as possible

2. **EFFICIENCY**

Fewer Assets needs less overall funding

3. **GEARING**

Use Debt to fund Assets, rather than Equity

Net Profit
Equity

$$\frac{\text{Net Profit}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}} = \frac{\text{Net Profit}}{\text{Equity}}$$

Profitability **Efficiency** **Gearing**

Bang for Buck Wise use of Debt

ONE COIN – TWO STORIES

Key Learnings

- 1. The **FIVE ELEMENTS** of Accounting
Assets, Liabilities, Equity, Income, Expenses
- 2. Three equations explain how these elements relate to each other:

Assets = Liabilities + Equity

Equity = Capital + Profit

Profit = Income - Expenses

The Accounting Equation

The Story of

WHAT YOU HAVE

ASSETS	
Valuable Stuff	
Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings



The INSEPARABLE Story of

EXPLANATIONS: How did you fund this Valuable Stuff?

LIABILITIES	
Owe	
Current	Non-Current
Creditors	Long-term Loans

+

EQUITY	
Obligation to Investors	
Capital	Retained Earnings
Actual Contributions (in cash or kind)	Accumulated Profits since day 1 of Trading Less: Dividends

=

INCOME		- EXPENSES	
Trading Income	Other Income	Cost of Sales	Operating Expenses
Sales	Grant	Directly Related to Sale	Indirectly Related to Sale

Company A

1 000 000	
300k	700k

400k	
300k	100k

600k		
100k	Prev 200k	Curr 300k

Company B

1 000 000	
600k	400k

600k	
300k	300k

400k		
100k	Prev 200k	Curr 100k

Gearing / Leverage	Liquidity	Profit-ability	Efficiency
↓	↓	↑	↑
↑	↑	↓	↓

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Financially Literate & Functional*



Value Creation: Detail



Value Creation: an Overview



The Business Activities: Practical Application



The Debit & Credit System



The Logic of Accounting



The Language of Finance: Overview



Resources

Adventure Finance	https://www.linkedin.com/in/aunniepatton/ https://www.adventure.finance/
Investopedia	https://www.investopedia.com/ https://www.investopedia.com/financial-term-dictionary-4769738
Investopedia Du Pont	https://www.investopedia.com/terms/d/duPontanalysis.asp
Corporate Finance Institute	https://corporatefinanceinstitute.com/
Money Savvy Humans	https://www.linkedin.com/in/kathryn-main-sa/ https://www.moneysavvyhumans.co.za/
Side Hustles	https://www.linkedin.com/in/willemgous/ https://thehumanentrepreneur.org/

ONE COIN – TWO STORIES

The Accounting Equation

The Story of

The INSEPARABLE Story of

WHAT YOU HAVE

EXPLANATIONS: How did you fund this Valuable Stuff?

ASSETS

Valuable Stuff

Current	Non-Current
Bank	Plant & Equipment
Debtors	Vehicles
Inventory (Stock)	Land & Buildings

500k



LIABILITIES

Owe

Current	Non-Current
Creditors	Long-term Loans

200k

EQUITY

Obligation to Investors

Capital
<i>Actual Contributions (in cash or kind)</i>

200k

300k

Retained Earnings

*Accumulated Profits since day 1 of Trading
Less: Dividends*

100k

INCOME

Trading Income	Other Income
Sales	Grant

500k

EXPENSES

Cost of Sales	Operating Expenses
Directly Related to Sale	Indirectly Related to Sale

400k

Key Learnings

1. The FIVE ELEMENTS of Accounting

Assets, Liabilities, Equity, Income, Expenses

2. Three equations explain how these elements relate to each other:

Assets = Liabilities + Equity

Equity = Capital + Profit

Profit = Income - Expenses

BALANCE SHEET

*The Financial Position of the Business;
always at a point in time*

INCOME STATEMENT

*The Profit Story;
always over a period of time*



Breakthrough
Business
Finance
Training



Practical Business Finance

Family of Offerings

Marc Johnson

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Thank You

